

RIVER CITY BANK/CA RCBC

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by

TheBeautyContest

			2026	2027
Price:	51.00	EPS	0	0
Shares Out. (in M):	14	P/E	0	0
Market Cap (in \$M):	714	P/FCF	0	0
Net Debt (in \$M):	0	EBIT	0	0
TEV (in \$M):	715	TEV/EBIT	0	0

Description

River City Bank (RCBC:US) is a \$6.0 billion commercial bank headquartered in Sacramento, California. Despite its consistent performance and ranking among the top-performing banks in the country over the years, the bank still has a small asset base and scope for profitable growth. It remains very cheap (1.1x P/B with ROEs around 15%) and has never been covered here in VIC. Over the past few days, several brokerage firms specialising in small financial firms (Raymond James, DA Davidson, Stephens and Keefe Bruyette) have initiated coverage of the bank.

As with my PBAM thesis a year ago, the RCBC thesis is also fairly straightforward. The bank offers attractive valuations with mid-teens IRRs and low business risk under reasonable assumptions. It has a consistent credit culture (the bank has not taken a material loss on a loan originated since 2008) and a tenured management team, ample growth opportunities (especially in other states) and a extremely simple business model. Unlike my PBAM thesis, the bank has already undergone a "soft catalyst": an uplisting to the Nasdaq completed at the beginning of August. As you may know from other threads here, uplisting to the Nasdaq without issuing new equity can be highly profitable for a bank's shareholders, as they usually benefit from multiple expansion in a short period of time.

Data and historical information about the institution were collected from the FDIC and press releases, as well as from my conversations with the management team. A point worth mentioning is that, unlike many other listed banks, River City has no holding company, because the parent company was collapsed into the bank back in 2010. This means that the company files with the FDIC rather than the SEC under Section 12(i) of the Exchange Act, and the information is a bit harder to find – which may be one of the sources of the opportunity. As always, I am happy to receive feedback from members engaged in the community banking space.

History and description of the bank

River City was founded in 1973 by Jon Kelly, a Sacramento broadcaster and owner of KCRA-TV, who concluded that the region lacked a bank capable of financing businesses like his own. For its first three decades, RCBC was a consumer bank with ten branches, Saturday opening hours and a drive-through facility with eight lanes, which (apparently) was the largest in California for a while.

For our purposes, the story begins in September 2008, the month that Lehman failed. At this time, Shawn Kelly Devlin, the founder's daughter and the current chair, hired Steve Fleming as CEO. Having spent twenty years at Bank of America in Sacramento and London (where he was Jon Kelly's personal banker), Fleming then ran National Bank of the Redwoods before founding Presidio Bank in San Francisco. He arrived with plans to transform the bank: abandon the consumer franchise and rebuild the institution as a boutique commercial bank. The bank's assets were around \$800 million at the time, and have grown to \$6.0 billion today – all organically, without a single acquisition.

In terms of the business model, it is extremely simple and the bank has been pretty explicit about it in its published materials. The bank underwrites high-quality investor commercial real estate loans at LTV ratios of 50% or less. Higher LTVs are reserved for the owner-occupied part of the portfolio. The main competitors in this area (I was surprised to learn) are life insurance companies and, to a lesser extent, multifamily agency lenders, who prioritise avoiding credit losses and generating a reliable income stream. Pricing is ultra-competitive in this corner of the market and rates are fixed at the outset for periods of up to ten years (in case you are wondering, RCBC hedges duration risk with interest-rate swaps).

RCBC tries to win deals against insurance companies not in terms of pricing, but in terms of execution (closing faster), the terms of the deal (such as prepayment flexibility), and deal size. For example, RCBC will consider smaller deals that many life insurance companies would not bother with. Finally, RCBC also has the ability to bundle deposits and treasury services alongside the loan.

This definitely non-sexy loan book clearly has low loan yields (5.5% in 2025, which is below the average for community banks, which usually have large exposure to high-yielding CRE assets) and low net interest margins (in the 2.5-3% range), despite RCBC's strong deposit franchise thanks to its relationship with California's Community Choice Aggregators (CCAs). The question, then, is how the bank translates these mediocre figures into top-quartile ROEs. The answer lies in virtually zero credit losses (according to management, no loan has gone bad since 2008) and an extremely efficient cost structure, with efficiency ratios routinely clocking around 30% since 2021. This has produced ROAs in the 1.3% range (but remember, with low risk) and ROEs in the 13-15% range.

Taking a closer look at the cost structure, the bank has nine branches, all of which are located within the Sacramento MSA. The bank ranks fifth by deposits in this area. According to the FDIC's June 2025 Summary of Deposits, \$4.1 of the \$4.5bn. is booked at the headquarters (thanks to its relationship with CCAs). The eight retail branches hold \$456 million, resulting in an average of \$65 million, which I would say is what community bank branches usually command. So, the branch infrastructure is quite efficient and each branch is lightly staffed as the loans are simple. For further context, the bank manages \$6.0bn. of assets with 158 full-time equivalents, equating to \$37M of assets per employee, compared to a US industry average of \$12.3M.

The table below provides a useful overview of the bank's key variables on an annual basis. While the 2026 YTD figures are not shown, they have been so far incrementally better than those achieved in 2025:

Report Date	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025
Number of Domestic Offices	16.00	15.00	14.00	13.00	13.00	13.00	13.00	12.00	12.00	11.00	10.00	10.00	9.00	9.00	9.00	9.00
Net Loans and Leases	503.00	549.00	604.00	682.00	745.00	948.00	1247.00	1428.00	1565.00	1903.00	2301.00	2665.00	3044.00	3502.00	4066.00	4476.00
Total Equity Capital	113.00	124.00	132.00	138.00	148.00	154.00	171.00	185.00	209.00	237.00	269.00	308.00	353.00	410.00	485.00	540.00
Assets per Employee	3.30	3.11	3.82	5.36	9.30	10.81	12.54	15.32	17.51	19.43	25.55	29.73	39.05	34.25	33.40	37.49
Deposits per Domestic Office	53.00	60.00	67.00	74.00	77.00	87.00	101.00	118.00	144.00	179.00	274.00	333.00	344.00	480.00	656.00	572.00
Loss Allowance to Loans and Leases	4.63	4.35	3.85	3.57	2.87	2.47	2.21	2.16	2.19	2.14	2.23	2.38	2.69	2.67	2.45	2.27
Net Charge-offs to Loans and Leases	1.29	0.63	0.34	-0.11	0.07	-0.12	-0.03	-0.08	-0.05	-0.02	-0.01	-0.01	-0.02	-0.00	-0.00	0.00
Net Loans and Leases to Deposits	58.95	61.02	64.03	71.09	74.27	83.34	95.30	93.23	90.87	88.73	79.06	80.12	88.42	81.04	91.28	86.94
Equity Capital to Assets	10.97	11.09	11.20	11.17	11.61	10.40	9.40	9.07	9.46	9.30	8.11	8.43	8.74	8.47	9.42	9.45
Yield on Earning Assets	4.68	4.34	4.00	3.59	3.36	3.24	3.34	3.53	3.77	3.51	3.06	3.34	4.08	5.86	5.86	5.48
Cost of Funding Earning Assets	0.62	0.42	0.24	0.21	0.25	0.27	0.31	0.48	0.76	1.01	0.70	0.38	0.52	1.21	2.97	2.71
Net Interest Margin	4.07	3.92	3.77	3.38	3.11	2.98	3.03	2.87	2.77	2.76	2.80	2.69	2.82	2.87	2.88	2.77
Efficiency Ratio	66.33	56.76	56.00	55.40	58.54	52.48	46.26	38.54	39.70	38.92	32.69	28.10	26.40	27.20	26.59	31.30
Net Income Attributable to Bank	5.00	11.00	12.00	11.00	12.00	13.00	15.00	17.00	24.00	25.00	32.00	44.00	48.00	60.00	73.00	68.00
Return on Assets	0.51	1.00	1.04	0.97	0.96	0.92	0.91	0.86	1.14	1.06	1.07	1.28	1.26	1.34	1.45	1.27
Return on Equity	5.24	8.91	9.07	8.55	8.20	8.10	9.03	9.32	12.38	11.34	12.49	15.34	14.56	15.65	16.30	13.30

I would argue that the recent improvement in profitability is sustainable because it has been achieved through better efficiency ratios, which are arguably under the management team's control, rather than through better interest margins. This represents moderate evidence that the operating model has enjoyed some economies of scale. During my discussions with the management team, they mentioned aiming for efficiency ratios of 30–35%.

Finally, the reason for the recent uplisting was liquidity. The offering comprised 2.7 million shares at \$45 each, totalling approximately \$121.5 million. The offering was managed by Raymond James and KBW, with D.A. Davidson and Stephens acting as co-managers. It was 100% secondary, with no new shares issued and no capital raised or dilution. The sellers were two long-standing shareholders associated with the Kelly family, and the transaction increased the float by around 19%.

Financials and valuation

This section will be straightforward and be identical to the one I used at PBAM, as I don't believe that complicated frameworks provide any benefit in the case of small banks with business models easy to understand. Value creation is a function of book value and residual income per share. The latter is itself a function of book value and ROE. Therefore, if book value increases over time, the only thing to consider is whether the additional book value earns the cost of capital, and whether this can be sustained in the future.

As of 30 June 2026, the book value is \$568M, equivalent to \$40.6 per share. At the current price of \$51, this equates to a price-to-book ratio of 1.25x and a market capitalisation of approximately \$715M. Assuming a sustained ROE of 13%, the yield for investors at different growth rates is as follows:

g; ROE = 13%, P/B = 1.25x	IRR (%)
3%	11.0
5%	11.4
7%	11.8
9%	12.2

Source: Own elaboration. Numbers have been rounded to the nearest decimal point. The yield is obtained as $(ROE - g)/(P/B) + g$.

For context, the bank has historically retained most of its earnings (over 90%) and grown its assets by 12% annually for eighteen years, even in a lower ROE environment.

As the bank is only trading at a modest premium to its book value, opportunities for reinvestment are less beneficial to shareholders than they would be if the shares were trading at a higher price-to-book value ratio. Nevertheless, they still provide a decent increase in yield. Assuming that the ROE can be sustained at a higher level, the increase in IRRs would have a greater impact than increasing growth rates.

Downside risks

- Economic cycle.
- Key-man risk (the CEO is above 65) with no successor has been named so far.
- CRE concentration risk, typical risk for small community banks.
- The family remains the dominant holder (arguably, this can be seen as a positive in order to keep the current credit culture).

Upside risks

- Re-rating as disclosure normalises.
- A steeper curve.
- The passage of time.
- Buybacks at attractive valuations.

I hold a position with the issuer such as employment, directorship, or consultancy.

I and/or others I advise hold a material investment in the issuer's securities.

Catalyst

Higher awareness. Passage of time.

Messages

Subject	Great bank
Entry	09/01/2026 07:46 PM
Member	waterstreetcapital
I also own the stock. No loan losses since 2008 is incredible. I've met Fleming a couple times now and think he is a great, no-nonsense kind of CEO. One thing that was interesting to learn is that since RCBC competes with insurance companies on these low LTV CRE loans, there is this dynamic where the insurance companies hit their allocation % to this asset class mid way through the year and ease up on originations. In other words, it creates some seasonality with RCBC's loan growth being more back half weighted. Hence, why they have only grown loans 1% through the first half of the year but are confident they can hit MSD for the full year. Longer term, I see no reason why they wouldn't be able to grow faster than MSD (they have grown loans at a ~15% CAGR for a decade). Very attractive risk/reward in my opinion.	
Subject	Re: Great bank
Entry	09/01/2026 10:13 PM
Member	sunshine21
Agreed. I interned there during a college summer and was really impressed by their underwriting and cost discipline. The Chief Credit Officer is an absolute monster, lives and breathes RCB and knows every single outstanding loan in the book by heart. Exposure to office is relatively low, and I'd imagine that there's a good amount of whitespace to go after as a result of the SVB/First Republic situation. Clean energy was also taking off while I was there. Nothing but good things to say about the people. I am long.	
Subject	Re: Re: Great bank
Entry	09/02/2026 10:13 AM
Member	broncos727
I own it as well. Long time shareholder. I've known Steve Fleming a long time, from before RCBC days. Agree that he is a great banker - and I think he also shares that view. ;-). Their low efficiency ratio is impressive. I attribute it to two things. Low branch count to total assets being the first one. The second, and probably more important part, is they don't have an army of loan officers to feed. They mainly deal with independent loan brokers and they roll out the red carpet for them and only lend on the highest credits with the lowest LTV. It is a sleep at night lending strategy. They focus on that as a business model. No 401k, no office space, no assistant, no travel costs, no healthcare costs for a large loan officer department that can take their book to a competing bank at the drop of a hat.....I think there are probably positives and negatives to that model..but the efficiency ratio should have an asterisk next to it, in my opinion. But then their NIM should have a corresponding positive asterisk considering the credit quality of their loans. I like banks that differentiate themselves and become the best at their own niche, and I think Steve Fleming has done that at River City. Quality idea and good write up with a sensible risk reward here for long term investors.	
Subject	NIM
Entry	09/02/2026 12:17 PM
Member	VC2020
Appreciate the write up. Been doing some bank work myself recently, so I agree that "normalizing" NIM is a bit of a difficult exercise. That said, how do you think about it here? NIM (when you include the swap income, but not MTM changes) this year is a good bit below what it's been for the past 5 years; last I checked something like 2.4% annualized vs. closer to 2.8% over past 5 years or so (more or less the average you cite, and during a period which includes a variety of different interest rate environments). Is this something that just normalizes back to what it's historically been?	
Subject	Re: Re: Re: Great bank
Entry	09/04/2026 05:25 AM
Member	TheBeautyContest
Thanks to everyone for providing more information on the management team. It is reassuring to see that many investors view the company's historical performance in such a favourable light.	
Subject	Re: NIM
Entry	09/04/2026 05:32 AM
Member	TheBeautyContest

VC2020, thanks for the question. First, I don't think one needs a full normalisation for the thesis to work, as recent ROEs have been strong without a strong NIM as you pointed out. I think efficiency ratios will stay low given the reasonable operating leverage I mentioned in the pitch (more deposits per branch).

To your question, I consider the range of 2.5% to 2.7% to be the base case. Some of the recent drop is due to the fall in the loan-to-deposit ratio, which I consider to be temporary and eminently recoverable. The other part, which I don't think will return, has been due to increased competition from life insurance companies and the 'abundant-capital environment' in which we operate. Life insurers have increased their share of CRE loans over the last decade and I don't think this will change in the short term.

I hope it helps. I'm happy to hear your views, or those of others.

Subject	Re: Re: NIM
Entry	09/04/2026 12:44 PM
Member	VC2020

To keep the discussion going: I suppose to step back big picture, is there not a reasonable case to be made that the bank will be worse off moving forward than it has been in the past? They have clearly emphasized that low operating costs are the name of their game – not gathering low cost deposits. I understand that these are two sides to the same coin (the goal should be to lower the *total* cost of making loans i.e. deposit franchises are not free as they come with higher operating costs), but in an environment where life insurers are going to keep their share of CRE loans high and there is now more competition for deposits / rising deposit beta, would you expect their NIM to continue to get squeezed? They could continue to offset that with better operating cost leverage but that gets harder and harder over time I would think.

It's also not entirely clear to me that loan to deposit ratios are outside the norm. The ratio has held at about 85-86% over the past 4 or 5 years, which is more or less what it is now. Loans as a % of earning assets are also more or less the average over that period too. Perhaps they want to get it higher over time though as they were throughout 2025?

Maybe I'm thinking about this wrong as I know there are other people on the board that have followed this more closely than I have and know more about it. Would be interested to keep the dialogue open and hear everyone's views.